



**“While confidence is down now due to the war, it is likely to improve as supplies improve and businesses go back to full production”**

**MADAN SABNAVIS**  
CHIEF ECONOMIST,  
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**ANIL BHARDWAJ**  
SECRETARY GENERAL,  
FISME



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could impact growth and inflation and hit rural markets that have boosted private demand in recent years. The El Niño climate pattern adversely affects the monsoons.

Experts highlight that uncertainty is always high during a war and India Inc’s outlook is no different. The BCI reveals that the outlook of businesses on overall economic situation, demand, hiring and profits remains muted. (*See Graphic: Business Confidence Takes a Hit*)

Madan Sabnavis, Chief Economist at Bank of Baroda, says the war is impacting businesses on two counts—supply shocks as well as demand concerns. “Companies that are dependent on petroleum and gas have been impacted due to supply shocks and have, as a result, cut down production, which in turn will have an impact on demand. A section of companies is also worried about demand going forward as people lower their spending during times of uncertainty,” he says.

Anil Bhardwaj, Secretary General of the industry lob-

by Federation of Indian Micro and Small & Medium Enterprises (FISME), agrees. He says business sentiments always dip during a war and discretionary spending is among the first to get impacted.

For MSMEs, it’s not a single narrative, Bhardwaj adds. “When the war started, the biggest problem was stuck or delayed shipments. This was eventually resolved through government efforts,” he says. There have also been challenges in supply of gas—many MSMEs depend on it for production—but that too is getting resolved now.

Further, MSMEs dependent on raw material like petroleum and chemicals from West Asia have faced disruptions in supply chains. While they have been able to procure from other countries, prices have increased and will eventually be passed on to end consumers.

There are also problems of cash flow and liquidity. MSMEs are hoping for some relaxations from the gov-